

CHINA CAPITAL / ARTIFICIAL INTELLIGENCE / SEMICONDUCTORS

The quant fund behind DeepSeek is now part of China's chip-market story

High-Flyer helped finance the AI lab that made Liang Wenfeng a global name. Its reported preliminary bids in CXMT's record Shanghai IPO show how the investor's quant, compute and semiconductor ambitions increasingly intersect.

By Staff Report | Hong Kong | 28 July 2026

AT A GLANCE **High-Flyer:** AI-driven quant manager; Reuters reported a 100bn yuan portfolio in 2025. **DeepSeek:** Incubated within High-Flyer as an AGI research effort. **CXMT:** China's largest DRAM maker; its July listing raised 57.92bn yuan, Reuters reported.

Liang Wenfeng's route into artificial intelligence began in finance. He co-founded High-Flyer, a China-based quantitative investment manager, after studying at Zhejiang University. The firm became known for applying machine learning to systematic trading before redirecting substantial computing resources toward artificial general intelligence research. [1]

That shift produced DeepSeek. Reuters reported in January 2025 that High-Flyer had built a 100 billion yuan portfolio using AI models to inform investment decisions, then chose in 2023 to concentrate its resources on an independent research group. That group became DeepSeek, with Liang serving as High-Flyer's controlling shareholder and DeepSeek's leader. [1]

The connection matters because it gave DeepSeek an unusual starting point: a parent organization already accustomed to building compute-intensive systems and funding them from investment operations rather than relying solely on venture capital. Reuters' review of High-Flyer materials found that the firm built two Nvidia A100 clusters before U.S. export controls took effect, including a roughly 10,000-chip system completed in 2021. [1]

For allocators, the result is a linked capital-and-technology ecosystem. High-Flyer's trading models created the operating context for an AI research program; DeepSeek's development sharpened the group's demand for compute; and the group is now visible in a marquee listing tied to China's semiconductor self-sufficiency drive.

The immediate market event is CXMT's Shanghai debut. Shares in the DRAM maker rose 466% on 27 July, closing at 49 yuan against an 8.66 yuan offer price, according to Reuters. The IPO raised 57.92 billion yuan (about \$8.6 billion), making it the largest mainland Chinese semiconductor offering on record. [2]

A highly visible IPO bid - but not a disclosed equity stake

In the IPO's bookbuilding process, High-Flyer Quant was among the prominent prospective buyers. The South China Morning Post reported that 153 private-fund products managed by High-Flyer submitted valid preliminary bids at 8.78 yuan per share for a combined 12.55 billion shares. The same report said institutional preliminary orders totalled about 1.24 trillion shares, equivalent to roughly 463 times the initial offline tranche. [3]

That is meaningful evidence of participation in the offering. It is not, by itself, evidence of the final allocation or of a post-listing ownership percentage. The public reporting reviewed for this article does not specify how many shares High-Flyer ultimately received or whether the products retained their allocations. Those distinctions are essential when translating headline demand into portfolio exposure.

Key distinction: preliminary bids signal interest; final allocations establish an IPO position; post-listing disclosures establish an ongoing stake. In CXMT's case, only the first of those is clearly reported for High-Flyer in the sources reviewed here.

CXMT is strategically important well beyond its debut-day valuation. The company is China's leading producer of DRAM, a category used in servers, PCs, phones and vehicles. Reuters described the company as a pillar of Beijing's effort to build a more self-sufficient chip industry as restrictions on advanced technology intensify competition. [2]

The listing also arrived during a strong memory cycle driven by AI infrastructure demand. Reuters cited a TrendForce analyst who expects price increases to persist through 2027, while noting CXMT's own prospectus warning that the market could weaken if AI investment slows or new supply arrives too quickly. [2] The opportunity is therefore tied to both strategic policy and a cyclical industry.

For High-Flyer, an IPO bid for CXMT is consistent with a broad technology exposure thesis, but it should not be treated as proof of a single directional investment decision by Liang himself. The bids were made through 153 private-fund products, not described as a single flagship vehicle. [3]

High-Flyer's own performance helps explain why its capital base attracts attention. Bloomberg reporting cited by Cinco Dias said the manager's funds returned an average 57% in 2025, with more than 70 billion yuan under management. Performance information for Chinese private funds is subject to limited public disclosure and should be read as reported manager-product data, not a complete independently audited track record. [4]

Funding DeepSeek: reported figures require careful labeling

The widely repeated proposition is straightforward: High-Flyer supplied the financial and technical platform from which DeepSeek emerged. That is supported by the record of High-Flyer's AI trading work, compute clusters and 2023 decision to form an independent AGI research group. [1]

The newer funding claims are less transparent. A June 2026 report said DeepSeek had completed its first external financing round, raising about \$7.4 billion at a valuation above \$50 billion, with roughly two-fifths reportedly coming from Liang Wenfeng. [5] These figures have circulated widely, but the public sources reviewed for this article do not include a company announcement, financing documents or a cap table that independently confirms the terms.

Accordingly, this article treats the \$7.4 billion round, Liang's purported contribution and any estimate of his equity ownership as reported claims rather than established facts. Reuters reported in 2025 that High-Flyer was privately held, that Liang owned 55% of the fund, and that he held 99% of its voting rights. That corporate-record detail concerns High-Flyer - not necessarily DeepSeek's current capitalization. [1]

The operating logic, however, is clear. A profitable quant manager can provide patient capital, technical staff and compute assets; an AI lab can, in turn, develop research capabilities relevant to the broader organization. The arrangement may reduce dependence on outside financing, but it also concentrates key-person, regulatory, technology and capital-allocation risk.

Allocator lens: The central question is not whether High-Flyer is simply a hedge fund or DeepSeek is simply an AI company. It is whether the combined platform can translate differentiated research and compute into durable investment returns and commercially viable AI - while managing the separate risks of volatile markets, export controls and semiconductor cycles.

CXMT underscores that convergence. A final High-Flyer allocation, if disclosed, would provide a clearer measure of direct portfolio exposure. Until then, the reported preliminary bids are best understood as a signal of strong interest in a national-champion memory company - not a definitive measure of High-Flyer's position size or Liang's personal conviction.

Method note: This article distinguishes facts reported by Reuters, the South China Morning Post and other cited outlets from claims that lack public primary documentation. Currency conversions are source-reported. No investment recommendation is intended.

Sources

[1] Reuters, *High-Flyer, the AI quant fund behind China's DeepSeek*, 29 Jan. 2025.

[2] Reuters, *Chipmaker CXMT vaults to top of China's valuation with 466% surge in Shanghai debut*, 27 Jul. 2026.

[3] South China Morning Post, *Chinese memory giant CXMT oversubscribed 212 times in mega Shanghai IPO*, 17 Jul. 2026.

[4] Bloomberg reporting via Cinco Dias, *La gestora del creador de DeepSeek logra una rentabilidad del 60% con inversiones en IA*, 12 Jan. 2026.

[5] TechRadar, citing South China Morning Post, *DeepSeek wants to double its workforce*, 26 Jun. 2026.